India has remained relatively insulated from this crisis. The banks and financial institutions in India do not have marked exposure to the sub-prime and related assets in matured markets. Further, India's gradual approach to the financial sector reforms process, with the building of appropriate safeguards to ensure stability, has played a positive role in keeping India immune from such shocks.

SUBSIDIES

Are subsidies negative taxes? Are they converse of indirect taxes? What are subsidies and why are they important? These are some questions which always make rounds every time the Union Budgets are presented. *Subsidies include all grants on current account made by the government to depress the price of any good or service below its economic cost.* Often subsidies are grants made by public authorities to government enterprises in compensation of operating losses when these losses are clearly the consequences of the policy of the government to maintain prices at a level below costs of production. The regime of subsidies is, therefore, a *political economic policy* framework typical of welfare states (India is one). Various subsidy regimes are meant to ensure distributive justice. Subsidies are directed at various sections of society to assist them economically. In India, the main beneficiaries have been farmers, needy people and those using various forms of public services, social services and economic services. The first includes fiscal and administrative services like justice, jails and police, which are in the nature of pure public goods. The last two categories include a range of goods and services, which are not purely public and where the users identifiable and user charges can be levied. For example, roads and power. Governments make such goods and services available to users at costs lower than what was expended to produce and/or provide them because social benefits of doing so exceed the aggregate of private benefits to individual consumers. For instance, compulsory and free elementary education, a subsidy provided by the government, aids the social development and uplift of the poor and socially depressed classed by making such education easily accessible to them. Subsidies are financed either from tax or non-tax revenue, or result in a deficit.